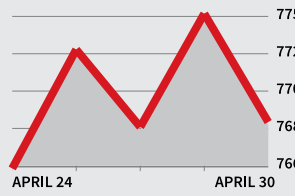


SENSEX 76913.50 (-750.50)



IN FOCUS

	Week's close	Week's change
Nifty 50	23997.55	-175.50
P/E Ratio (Sensex)	20.94	-0.37
US Dollar (in ₹)	94.91	+0.81
Gold Std 10 gm (in ₹)	149661.00	-793
Silver 1 kg (in ₹)	240331.00	-265



MONSOON WATCH.

El Nino may last until January 2027, could impact kharif and rabi crops, says India Meteorological Department **p8**

AUTO FOCUS.

BMW F 450 GS improves performance and features but lacks distinctive GS character **p4**

QUICKLY.

FISCAL COMMITMENT
'Govt to maintain capex despite global challenges'



New Delhi: The prolonged West Asia crisis has led to fiscal stress and uncertainty, but the government remains committed to the budgeted ₹12.22 lakh crore capital expenditure in the current fiscal, Expenditure Secretary V Vualnam has said. The upcoming few months, the next quarter and the year ahead will be very difficult to envisage with lots of possible stress points, he stressed. **p3**

WAR IMPACT
Centre allows force majeure relief for govt contracts

New Delhi: The Centre has allowed extension of timelines by two to four months without penalties in cases where supply chain disruptions have affected execution of government contracts due to the West Asia war. According to an office memorandum issued by the Department of Expenditure, procuring entities may invoke *force majeure* for contracts impacted by disruptions linked to the prevailing West Asia situation. **p10**

Steep hike in commercial LPG prices; other fuels not touched

BALANCING ACT. Petrol, diesel, domestic LPG prices unchanged to protect mass consumers

Rishi Ranjan Kala
New Delhi

The government on Friday tried to balance its energy import arithmetic by steeply raising prices of commodities used by industries such as commercial LPG and bulk diesel, while keeping retail prices of petrol, diesel and household LPG unchanged. Rates of jet fuel used in domestic scheduled flights have not been raised.

RECORD HIKE
Effective May 1, the price of LPG for commercial users was raised by ₹993 per 19-kg cylinder or roughly 47.8 per cent month-on-month, which is a record. Similarly, the rate for 5-kg FTL cylinders was hiked by ₹261.50 per unit. Before this, commercial LPG rates were increased by ₹195.50 per 19-kg cylinder in April and by ₹114.50 in March. The price of bulk diesel used by hotels, telecom towers, restaurants and industries was raised from about ₹137 per litre to over ₹149. Similarly, state-owned oil firms hiked jet fuel prices



RATE SHOCK. Effective May 1, the price of commercial LPG was raised by ₹993 per 19-kg cylinder or roughly 47.8% on-month

for international airlines by \$76.55 per kilolitre (KL) from \$1,435.31 per KL (Delhi). **CONSUMER SHIELD** This reflects the government's effort to balance the losses being incurred by PSU oil marketing companies (OMCs) due to the steep prices of crude oil, LNG and LPG due to the West Asia conflict, while shielding the common man from high volatility in the oil and gas markets. India is heavily dependent on the Middle East Gulf (MEG) region for almost 90 per cent of its LPG imports, over 50 per cent of its lique-

fied natural gas (LNG) shipments and around 50 per cent of its crude oil consumption. ICRA estimates domestic LPG under-recoveries at ₹80,000 crore in FY27, if current under-recoveries continue for the entire year. "At crude prices of \$120-125 per barrel and long-term averages of crack spreads, the marketing margins on petrol and diesel are estimated to be negative ₹14 per litre and ₹18 per litre, respectively," the ratings agency added. Commercial liquefied petroleum gas (LPG) is a deregulated commodity. It is market-linked, with prices revised monthly in line with

the Saudi Contract Price (benchmark). The 5-kg free trade LPG (FTL) cylinder is also sold from the commercial pool. It was launched especially for the migrant population in urban and semi-urban areas who do not have local address proof, people with lower gas consumption, and commercial establishments with limited space. On Friday, the Ministry of Petroleum and Natural Gas said, "OMCs have undertaken a calibrated price revision aligned with prevailing international trends for a small set of products catering primarily to commercial, industrial and premium segments, such as commercial LPG including both bulk and packed LPG, bulk diesel and ATF for international operations, which constitute a relatively minor share of total consumption and are subject to routine market-linked adjustments." India's largest OMC, Indian Oil Corporation (IOCL), said: "As part of this consumer-centric approach, there has been no change in key fuels affecting the general public."

Also read **p3**

Capacity boost, GST 2.0, tax relief drive April PV sales to record high

S Ronendra Singh
New Delhi

Helped by expansion of production capacities and new launches, passenger vehicle (PV) makers reported positive growth in their domestic wholesales (dispatches to dealers) on a yearly basis in April. Carmakers cited the tailwinds of GST 2.0, income tax relief and the reduction in repo rates as the main engines driving sales to an all-time high.

Overall, domestic PV sales were estimated to have grown 27 per cent to around 4.5 lakh units in April, compared with 3.54 lakh units in the same month last year.

RISING PENETRATION
The largest car-maker, Maruti Suzuki India Ltd (MSIL), recorded an all-time high monthly domestic sales of 1,87,704 units in April, up 35.3 per cent from 1,38,704 units in April 2025, bolstered by the expansion of two production lines at its Kharkhoda (Haryana) and Hansalpur (Gujarat) plants, which added 2.5 lakh units each to help meet customer demand. "We have been working on getting closer to the customer, and in the last two years, we have opened one touchpoint every day across

Growth drive			
Company	April 2025	April 2026	% change
Passenger vehicles			
Maruti Suzuki India	1,38,704	1,87,704	35.3
Tata Motors Passenger Vehicles	45,199	59,000	30.5
M&M	52,330	56,331	8
Hyundai Motor India	44,374	51,902	17
Kia India	23,623	27,286	16
Toyota Kirloskar Motor	24,833	30,159	21
JSW MG Motor India	5,829	6,018	3.2
Honda Cars India	3,360	4,069	21
Renault India	2,602	5,413	108
Nissan Motor India	1,825	3,203	75.5

Source: Companies/Industry Sources

the country... We are now seeing dividends coming out of it. Our rural growth has been 39 per cent, and penetration has now gone to 52.3 per cent (a rise of 2.4 per cent)," said Partho Banerjee, Senior Executive Officer, Marketing and Sales, MSIL, adding that the network stock as of May 1 remains at 16-17 days. He said the company had pending bookings of around 1.65 lakh cars at the moment. Tata Motors Passenger Vehicles took the No 2 position with domestic wholesales of 59,000 units in April, up 30.5 per cent compared to 45,199 units in April 2025. M&M reported domestic wholesales of 56,331 units, up by 8 per cent over 52,330 units dispatched in the same month last year. Hyundai Motor India

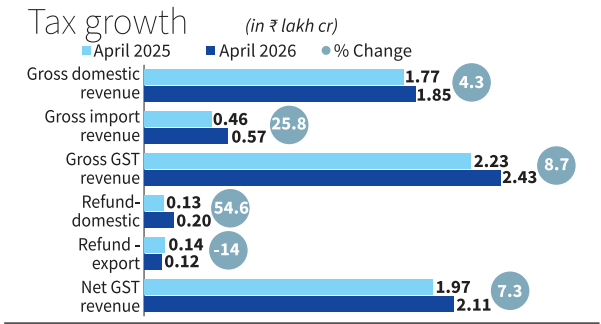
(HMIL) said it achieved the highest-ever monthly sales for any April with domestic wholesales of 51,902 units last month, up 17 per cent compared to 44,374 units in April 2025. "We opened the new financial year on a strong note... The encouraging response to our recent product interventions, including the new Exter, Verna, Ioniq5 and Creta Summer Edition, Grand i10 Nios Vibe Edition and Venue Knight Edition, has reinforced the competitiveness of our line-up," said Tarun Garg, MD and CEO, HMIL. **WIDE GAINS** Other carmakers such as Kia India, Toyota Kirloskar Motor, Honda Cars India and Nissan Motor India also reported double-digit growth. Also read **p2**

GST collections soar to a peak of ₹2.42 lakh cr in April

Shishir Sinha
New Delhi

With robust mop-up from imported goods and year-end stock clearances, the Goods and Services Tax (GST) collection in April surged to an all-time high of ₹2.42 lakh crore. Unlike previous years, this record collection in April was achieved without the compensation cess. Collections in the corresponding month of the last fiscal stood at ₹2.33 lakh crore, a year-on-year growth of 8.7 per cent.

REVENUE MIX
Data from the GST portal showed that collections from domestic sources exceeded ₹1.85 lakh crore, registering a growth of 4.3 per cent. At the same time, gross import revenue stood at over ₹57,000 crore, reflecting a growth of 25.8 per cent. Total refunds rose by 19.3



per cent, taking the net collection to around ₹2.11 lakh crore, a 7.3 per cent increase over the corresponding month of the last fiscal. Saurabh Agarwal, Tax Partner at EY India, said while the headline numbers were encouraging, the divergence between modest domestic GST growth and the significant uptick in import-linked collections warranted a strategic pivot. "In an increasingly dynamic global landscape, we must critically re-examine our policy frame-

works to further incentivise domestic manufacturing and ensure 'Make in India' keeps pace with global supply chain shifts," he said. **REFUNDS SPIKE** According to Vivek Jalan, Partner at Tax Connect, net domestic collections remained flat as refunds, primarily under the inverted duty structure, spiked 54 per cent. These refunds exclude the growing ITC accumulation on input services, which continues under GST 2.0's

deepened inverted duty framework. "While this accumulation has maintained collections, it has simultaneously raised business expenses, a concern flagged to the GST Council for correction in its upcoming 57th meeting," he said. However, Agarwal had a note of caution. April's record figures reflect the year-end push for targets by both industry and administrators. "As we transition into the new fiscal year, we should anticipate a stabilisation in the coming months, with collections likely seeing a sequential dip in both absolute and percentage terms as the market recalibrates," he said. Manoj Mishra, Partner at Grant Thornton Bharat, said the dominance of large, consumption-driven States such as Maharashtra, Karnataka, Gujarat and Uttar Pradesh highlights compliance depth and economic concentration.

MISSING LINK



ROUTE UPGRADE. The Mumbai-Pune Expressway 'Missing Link' project was inaugurated on Friday, which also marked the statehood day of Maharashtra. The much-awaited 13.3-km-long project connects Khopoli, in Raigad district, on the Mumbai side to Kusgaon, near Lonavala in Pune district, bypassing the steep mountain pass section, reducing travel time and improving road safety. It will make the 94-km expressway fully access-controlled, easing congestion in the hilly ghat section **p71**

How rural economy around Bhogapuram airport is taking off

Villages transform with rising investments, employment and commercial activity

G Naga Sridhar
Bhogapuram

The rural landscape around the upcoming greenfield Bhogapuram International Airport in Andhra Pradesh's Vizianagaram district is undergoing a visible economic transformation, with a surge in local business activities, employment opportunities and real-estate demand ahead of its proposed inauguration in July. Villages dotting the airport zone are witnessing heightened commercial activity, with small businesses emerging and land prices rising sharply as hospitality chains, real-estate developers and commercial players scout for land. "For the last two years, economic activity has been gathering pace due to the pace of construction and the steady increase in visitor footfalls to the region.



LAST STRETCH. The main terminal of the airport, which is nearing completion. A 6-km highway link is also under construction **G NAGA SRIDHAR**

My earnings have doubled in the last six months," Vempada Ramana, a truck driver from Rajapavalasa village, told *businessline*. "There has been a noticeable rise in job opportunities for locals. My two sons, who completed their polytechnic courses, recently secured jobs linked to the airport ecosystem," said K Venkateshwarlu of Chepalakuncheru village. "I am optimistic about the future. The customer footfall has been encour-

aging, and I have already reached break-even," said C Chandrasekhar, who recently set up a general store at Rellipeta, located opposite the airport's approach road. **LAND PRICES SOAR** The airport-driven economic activity has altered the region's real-estate dynamics. "Two years ago, land prices ranged from ₹1.5 crore to ₹3 crore an acre in most of these villages. With infrastructure

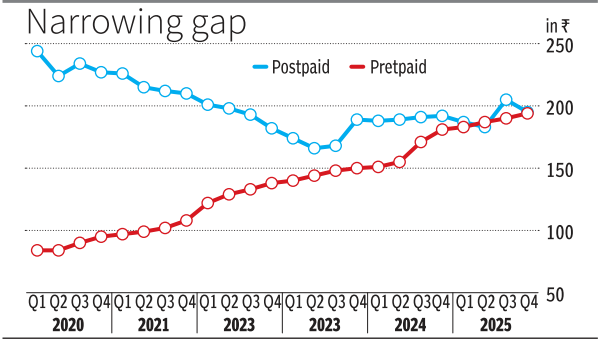
works gathering pace, prices have now moved up to ₹5 crore-₹8 crore an acre," said RS Rao, a Visakhapatnam-based infrastructure developer. Hospitality majors, too, are lining up investments. The Oberoi Group and Mayfair Hotels and Resorts are evaluating opportunities. "The Andhra Pradesh government's new tourism policy and its faster pace of clearances are attracting investments into the region," a senior Industries Department official said, adding that Chief Minister N Chandrababu Naidu is expected to announce fresh investments in the region. The completion of the airport remains a key infrastructure priority of the government, with it featuring prominently in the pre-poll commitments of the NDA alliance in the 2024 Assembly elections.

Prepaid-postpaid ARPU gap nearly vanishes, signalling major telecom market shift

Vallari Sanzgiri
Mumbai

For the first time since India's mobile revolution took hold, the gap between prepaid and postpaid average revenue per user (ARPU) has nearly disappeared as mass-market prepaid users now spend on a par with premium postpaid subscribers, per government data. The ARPU gap that used to be as wide as ₹129, with prepaid at ₹84 and postpaid at ₹244 in 2020, is nearly gone, with prepaid at ₹194 and postpaid at ₹199 in the December quarter of 2025. The levelling signals a shift that could reshape postpaid pricing, premium positioning and subscriber acquisition strategies.

NARROWING GAP
"Particularly, the narrowing gap in ARPU's could lead to a downward trend in terms of mobile number portability in



the coming months, compelling operators to consider offering handset bundling or even put pressure on operators to take a closer look at value-additions for postpaid services," Faisal Kawoosa, Chief Analyst and Founder of Techarc, told *businessline*. Attributing the trend to the recent tariff hike, Kawoosa said, "In India, handset bundling never picked up because we had a substantial prepaid base. If the tariff is the same, then operators can raise awareness on this and

invite more users to come to postpaid plans to see how handsets can be offered against contract." TV Ramachandran, President, Broadband India Forum, said the trend may, in fact, encourage some migration from prepaid to postpaid to avoid the hassle of repeated recharges. "Postpaid is fixed always. If the prepaid advantage of lower prices is not there now, they may switch to postpaid. However, the trend is unlikely to sustain for long. Postpaid cus-

tomers don't mind paying a little more." **DIFFERENT APPROACH** Mahesh Uppal, Director of Com First (India), said prepaid and postpaid customers have different motivations. Postpaid helps avoid regular recharges, while prepaid ensures transparency and budgeting. Asked if prepaid users should enjoy the same additional benefits as postpaid users, Uppal said the features of the two plans are very different, with distinct advantages. Even with the same ARPU numbers, the TRAI data do not show granular usage on how prepaid subscribers consume their packages. "Prepaid does get its share of benefits in a different place. There are no major benefits that postpaid users get over prepaid users, other than avoiding disconnections if they miss a payment," he said.

A hand holding a small globe surrounded by icons for water, air, and land.

CM
Y
K

Food, hospitality sectors see higher cost pressures post commercial LPG price hike

MAJOR IMPACT. Players across the industry are likely to pass on the cost pressures to some extent to end consumers

Our Bureaus

From eateries to packaged food, the third consecutive price hike on commercial LPG will have a direct as well as indirect impact on a wide range of sectors.

This comes at a time when companies are already facing heightened cost pressures across supply chains triggered by the West Asia conflict.

Players, especially in the restaurant industry, are expected to pass on the cost pressures to some extent to end consumers. The impact is expected to be even more severe for smaller and micro players.

MANUFACTURING COSTS

“The hike in commercial LPG prices will directly hit the overall manufacturing costs for packaged food companies by 1-2 per cent given the energy-intensive nature of processes like frying and baking.

“While some impact may be absorbed in the short term, sustained increases could lead to calibrated price adjustments or efficiency measures and even a gradual shift towards alternative energy sources. Stable energy pricing remains crucial for the sector’s growth and competitiveness,” a spokesperson for snacks brands Cornitos told *businessline*.

The latest round of hike of ₹993 per 19-kg commercial LPG cylinder, comes soon after hikes of ₹195.50 in April and ₹114.50 in March.

For the hospitality industry, this will lead to an “unprecedented” cost escalation. Restaurant industry players said they will need to hike menu prices by at least 10-15 per cent.

“With commercial LPG prices now having risen by a staggering ₹1,332 within just three revisions, the sector is facing an unprecedented escalation in operating costs at a time when businesses are



SURGING PRICES. The latest round of hike of ₹993 per 19-kg commercial LPG cylinder comes soon after hikes of ₹195.50 in April and ₹114.50 in March PTI

already struggling with supply disruptions, reduced operational capacity and weakened cash flows.

For an industry where energy costs form a chunk of operational expenditure, this is nothing short of catastrophic.

Hotels and restaurants are among the largest consumers of commercial LPG, and this sharp increase will disproportionately impact the hospitality sector, particularly small and medium establishments, caterers and businesses dependent on large scale food production,” said Pradeep Shetty, VP of the Federation of Hotel &

Restaurant Associations of India.

He pointed out that this comes at a time when many eateries are operating with curtailed hours, limited menus and alternative cooking arrangements due to inconsistent supply and rising fuel costs.

Aroop Verma, Founder of Seven Hills Tower, said menu prices may rise 15-20 per cent at owned outlets, but standalone restaurants could see increases of 20-50 per cent.

“That will directly hit consumption, especially among students and working-class consumers who depend on

affordable daily meals,” he said.

“In a city like Mumbai, 40-50 per cent of office-goers and small business owners depend on *khaan* gullies and local food stalls for daily meals — sandwiches, *roti-sabzi* or thalis that currently cost ₹120-170, depending on the location. If prices rise to ₹200-250, it will go beyond the reach of lower-income consumers and could severely impact small vendors who rely on this daily demand,” said a food cart owner in Mumbai’s Nariman Point area.

CONSUMER DURABLES

A senior executive with a consumer durables company pointed out that while the price hike in commercial LPG may not have a substantial impact for the industry directly but the impact on suppliers of components and raw materials will lead to an indirect impact on production costs.

Meanwhile, Ajay Sahai, DG, Federation of Indian Export Organisations, said, “For Indian exporters, particularly MSMEs in energy-intensive sectors like food processing, ceramics and glass, cost stability remains important for better planning, pricing certainty, and maintaining margins in an increasingly competitive global market.”

Sources in Tiruppur said while there was no direct impact on garment manufacturing units, higher costs for dyeing units that use LPG will affect garment manufacturing units.

HOTELS HIT

A member of the Andhra Pradesh Hotels Association said already many hotels had stopped running in-house restaurants and were only offering stay.

“Today’s steep hike will further lead to closure of restaurants and smaller eateries which will lead to job-loss of many workers. The hotels will have no choice but to increase prices,” he added.

Tamil Nadu Hoteliers Association President M Venkatasubbu said the hike in prices will be a major blow to the hotel industry.

“We have asked restaurants to move towards induction, but it cannot happen quickly. Right now, only about 25 per cent of the

cooking can be done through induction and the rest is still dependent on LPG supply. Moreover only 50 per cent of the restaurants right now are using induction,” he said.

Govt to maintain budgeted ₹12 lakh crore capex despite global challenges: Vualnam

Our Bureau
New Delhi



V Vualnam, Expenditure Secretary

The prolonged West Asia crisis has led to fiscal stress and uncertainty, but the government remains committed to the budgeted ₹12.22 lakh crore capital expenditure in the current fiscal, Expenditure Secretary V Vualnam has said. The upcoming few months, the next quarter and the year ahead would be very difficult to envisage with lots of possible stress points, he stressed.

FISCAL STRESS

“So, the fiscal stress is indeed very much a reality, but at the same time the priority sectors... the capex would really be a priority item which we would like to preserve and ensure that it continues at the budgeted level,” Vualnam said at the ICPP Growth Conference, organised by Ashoka University.

On a positive note, the Secretary highlighted that fiscal prudence has put India on a very good footing in the current unpredictable times.

KEY AREAS

Focus areas for the government’s capital expenditure in FY27 are highways, railways, shipping, ports and urban development sectors, Expenditure Secretary said.

The current global uncertainties have created a challenging situation for India, and the government has been proactive in trying to tackle each situation with agility, he noted.

India’s fiscal prudence has put the country on a very good stead in the current unpredictable times, he added.

“We will, on our part, be committed to see that the required funds are provided in

FISCAL DEFICIT

The FY27 Budget has pegged the fiscal deficit at 4.3 per cent of GDP, which is now seen at 4.5 per cent of GDP, following a downward revision in India’s nominal GDP under the new series.

To contain retail prices of petrol and diesel from rising amid the ongoing West Asia war, the government has cut excise duties, which poses a risk of fiscal slippage.

The excise duty cut is estimated to cost ₹7,000 crore to the exchequer for 15 days.

Since the beginning of the war in West Asia on February 28, crude oil prices have soared to a four-year high of \$126 per barrel on Thursday from about the \$73 level before the war.

“The next few months, the next quarter and the coming year are indeed very difficult to envisage, lots of possible stress points,” he said.

Tax buoyancy will also have been looked out for amidst these conditions, Vualnam said, which can further squeeze fiscal space.

India imports 60 per cent of its LPG usage, and of that, 90 per cent flows through the now closed Strait of Hormuz, the Secretary said.

No change in domestic ATF prices; global jet fuel rates revised up

Rohit Vaid
New Delhi

In what comes as relief for domestic airline operations, state-owned oil marketing companies (OMCs) have kept aviation turbine fuel (ATF) prices unchanged for scheduled carriers, while revising fuel rates upward for international airline operations in the latest monthly revision effective May 1.

The move forms part of a broader pricing approach aimed at insulating domestic consumers from recent increases in international fuel prices. *businessline* was the first to report on Tuesday that the Centre is likely to maintain the existing cap on ATF price increases for domestic operations, even as discussions continue on broader measures to ease

mounting cost pressures faced by the aviation industry.

DOMESTIC ATF RATES

Accordingly, ATF prices for scheduled domestic airlines across metro cities remain unchanged following the latest revision.

In Delhi, ATF prices for scheduled domestic airlines stand at ₹1,04,927 per kilolitre. Similarly, prices in Kolkata remain at ₹1,09,450 per kilolitre, while rates in Mumbai are at ₹98,247 per kilolitre. In Chennai, ATF prices continue at ₹1,09,873 per kilolitre.

However, prices of bulk diesel and ATF for international airline operations have been revised upward as part of routine monthly adjustments. The development comes a day after the Federation of Indian Airlines raised



PRICING APPROACH. The prices of bulk diesel and ATF for international airline operations have been revised upward as part of routine monthly adjustments BLOOMBERG

concerns over elevated ATF prices and their impact on airline operating costs.

FIA, which represents Air India, IndiGo, and SpiceJet, had sought government intervention on aviation fuel pricing.

According to FIA, fuel costs, which traditionally account for 30-40 per cent of airline expenditure, now make up nearly 55-60 per cent of operating costs.

The industry body had said airlines are struggling to

sustain both domestic and international operations amid an unprecedented surge in ATF prices.

When contacted, airline executives said carriers may adopt a calibrated approach to international capacity deployment. Nevertheless, they pointed out that Air India, which has deployed the majority of its capacity in the international sector, may face the biggest impact from the rise in ATF prices meant for international flights.

businessline had earlier reported, quoting industry sources, that Tata Group-led Air India is planning to curtail operations amid rising jet fuel prices and operational challenges. The proposed reduction could affect 75-100 international flights.

EXPERTS’ TAKE

Speaking to *businessline* from Mumbai, Jagannarayan Padmanabhan, Senior Director and Global Head Consulting at Crisil, said ATF cost intensity has increased from nearly 35-40 per cent of operating costs to around 40-45 per cent, creating pressure on airline margins.

Additionally, Padmanabhan said higher fuel costs are forcing airlines to seek improved yields through fare adjustments and tighter revenue management, while capacity deployment may be-

come more selective with a focus on profitable routes.

He added that although travel demand remains resilient, profitability could remain under pressure and capacity growth may moderate in the near term.

Meanwhile, Mark D Martin of Martin Consulting said the government’s decision not to alter domestic ATF pricing reflects resistance to airline lobbying around fuel costs.

In addition, Martin said that airlines have historically passed higher fuel costs to passengers through fuel surcharges, limiting the direct financial burden on carriers.

He added the impact of fuel price hike is ultimately borne by travellers, while airline financial pressures cannot be attributed solely to government fuel pricing decisions.

Coal India’s output for April falls 9.7% to 56 million tonnes

Mithun Dasgupta
Kolkata

Coal behemoth Coal India’s total coal production for April witnessed a 9.7 per cent year-on-year fall to 56.1 million tonnes (mt) compared with 62.1 mt for the same period last year.

During April, coal offtake witnessed a 2 per cent y-o-y decline at 63.2 mt as against 64.5 mt in the year-ago period, according to CIL’s stock exchange filing on Friday.

Notably, among the company’s seven coal-producing subsidiaries, five subsidiaries witnessed a fall in their production for the first month of the current financial year.

Eastern Coalfield (ECL), Bharat Coking Coal (BCL), Northern Coalfields (NCL), Western Coalfields (WCL) and Mahanadi Coalfields (MCL) registered a production decline of 9.5 per cent, 41.3 per cent, 23.6 per cent, 6.6 per cent and 13.9 per cent, y-o-y, respectively.

Current high pithead stock at the mines of CIL might have impacted coal production, industry observers told *businessline*. Currently, pithead stock stands at around 125 mt as against 106.78 mt as on April 1, 2025.



THE REASON. Current high pithead stock at CIL’s mines might have impacted coal production, said industry observers PTI

price of coal increased by 51 per cent over notified prices in April. In March, the e-auction price rose by 45 per cent over notified prices.

Quantity offered during April stood at 30.55 mt, while quantity allocated was 11.77 mt. The quantity of coal allocated through the e-auction decreased 11.64 per cent on a month-on-month basis.

While Eastern Coalfield (ECL) and Mahanadi Coalfields (MCL) witnessed only 23 per cent of their offered coal getting allocated through e-auction in April, Northern Coalfields (NCL) and South Eastern Coalfields (SECL) saw 100 per cent and 79 per cent of their offered

coal getting allocated, respectively, during the month.

Significantly, for the fourth quarter last fiscal, Coal India’s sales, in terms of volume, under fuel supply agreement fell to 167.70 mt from 175.07 mt in Q4FY25. Realisation under FSA also decreased to ₹1,460.47 per tonne from ₹1,486.60 per tonne in the year-ago period.

E-auction sales during the fourth quarter last fiscal rose 27.63 mt, compared with 21.63 mt in Q4FY25. Realisation under e-auction, however, decreased to ₹2,202.63 per tonne during Q4FY26 from ₹2,363.79 per tonne in Q4FY25.

Maersk levies freight surcharge on Gulf routes

T E Raja Simhan
Chennai

Global shipping major Maersk has introduced an emergency freight surcharge on cargo to and from the Gulf region, significantly increasing logistics costs.

Industry sources said while there are no direct sailings currently operating reliably through the corridor, essential cargo such as pharmaceuticals and perishables are being routed through alternative sea-land combinations.

NEW STRUCTURE

Under the new structure announced by Maersk in a trade notice issued on April 27, shippers will pay \$1,800 per 20-ft container, \$3,000 per 40-ft container, and \$3,800 for reefers, special and dangerous cargo. The surcharge applies to cargo originating from, destined for or transiting through affected Gulf ports. While the line did not specify the effective date of implementation, industry sources said it is with immediate effect.

The fee covers shipments linked to key markets including the UAE, Saudi Arabia (Dammam and Jubail), Kuwait, Qatar, Bahrain, Iraq and parts of Oman.

The surcharge includes 14 days of storage in transit, after which additional storage and reefer plug-in charges will apply.

No relief for India as US retains ‘priority watch list’ tag over IP issues

Amiti Sen
New Delhi

The US has placed India once again on the ‘priority watch list’ of countries, alongside five others, including China and Russia, for alleged deficiencies in its intellectual property (IP) protection and enforcement.

The latest USTR Special 301 report on IP review shared on Thursday noted that among other concerns in India, the potential threat of patent revocations and the procedural and discretionary invocation of patentability criteria under the Indian Patents Act impact companies across different sectors, especially pharmaceuticals.

“The US intends to continue to engage with India on IP matters, including through US-India Bilateral Trade Agreement negotiations and the TPP’s Intellectual Property Working Group,” the USTR report stated.

Accepting US demands could weaken India’s generics industry and raise drug costs worldwide, per an analysis of the review by Ajay Srivastava, Founder, Global Trade and Research Initiative (GTRI).

“Despite India’s justifications of limiting IP protections as a way to promote access to technologies, India



IP ALARM. The USTR Section 301 report on IP cites concerns over potential threat of patent revocations

maintains high customs duties directed to IP-intensive products such as information and communications technology (ICT) products, solar energy equipment, medical devices, pharmaceuticals, and capital goods,” the USTR report said.

PRIORITY WATCH

India, while still on the priority watch list, remains in a category that emphasises ongoing bilateral engagement rather than immediate trade sanctions. Other countries classified as priority watch are China, Russia, Chile, Venezuela and Indonesia, while Vietnam was identified as a priority foreign country, the most serious classification under the framework. It leads to special investiga-

tions and possible trade action. The report acknowledged that India had made some meaningful progress in 2024 to promote IP protection and enforcement in some areas and took steps to partially address long-standing issues by notifying the Patents (Amendment) Rules, 2024, including provisions that are likely to increase the efficiency of the patent regime and reduce current burdens on patent applicants. However, patent issues continue to be of particular concern in India.

PHARMA SECTOR

In the pharmaceutical sector, the US continues to monitor the restriction on patent-eligible subject matter in Section 3(d) of the Indian Pat-

ents Act and its impact, the report noted. The US has long been seeking the revocation or dilute of Section 3(d) that sets a higher bar for patenting “incremental innovations” designed to prevent a practice known as evergreening, where pharma companies extend their patent monopolies by making minor, cosmetic changes to existing drugs.

“Pharmaceutical stakeholders also express concerns as to whether India has an effective mechanism for the early resolution of potential pharmaceutical patent disputes. In particular, India does not have a system to provide notice to a patent holder or to allow for a patent holder to be notified prior to the marketing of a follow-on product, which limits transparency,” it said.

TRIPS-PLUS NORMS

The US is pushing for TRIPS-plus norms like data exclusivity and broader patent protection but India has been defending its regime as fully WTO-compliant and designed to ensure affordable medicines. Srivastava pointed out. “India supplies nearly 20 per cent of global generic medicines, making its IP stance globally significant. Accepting US demands could weaken India’s generics industry and raise drug costs worldwide,” he said.

Bad policy

Govt making a mistake by not raising fuel prices

The Centre increased commercial liquefied petroleum gas (LPG) prices by a massive 50 per cent or by ₹993 per 19 kg cylinder on Friday. What it did not do though was increase retail prices of domestic LPG, petrol and diesel, as was widely expected. With crude oil prices soaring over the last two months due to the Gulf war, the expectation was that fuel prices would be raised once the Assembly elections were over. But the Centre has preferred status quo for now. That's bad policy.



India's crude oil basket, a mix of different varieties of crude that the country sources, rose from \$71 a barrel on February 28 when the war began, to \$112 a barrel on May 1, with a high of \$146 a barrel in mid-March. The international traded price of petrol (FOB), which was an average of \$75.28 a barrel in February rose to \$127.49 in April. Yet, petrol (and diesel) prices have remained unchanged in India; elsewhere in the world, they have become expensive, reflecting prevailing market prices. This is a puzzling policy stance. The Centre's resolve to not burden the common man with higher fuel prices is laudable but it flies against the reality of the markets. For a country that is 87 per cent dependent on imported crude oil, it is impossible to buffer the consumer from rising import costs forever. If costlier crude is not reflected in retail product prices, who's bearing the burden? The Centre absorbed some of it by cutting excise duty on petrol and diesel in late March, but that is insignificant when compared with the increase in sourcing costs.

The oil marketing companies — Indian Oil, Bharat Petroleum and Hindustan Petroleum — are acting as sponges soaking up the higher prices but the sponges, though strong, will begin to fray sooner than later because the losses they're soaking up are more than what they can handle. A recent ICRA report put the under-recoveries on LPG alone at ₹80,000 crore in FY27. The reality is that oil prices are unlikely to retrace their steps over the next few months. The Centre should accordingly plan for an equitable sharing of burden between oil companies, consumers and itself. It is poor policy to burden just one stakeholder. As even a freshman economics student would know, fuel demand is quite price elastic, and consumers need to feel the pinch of higher prices if demand is to be managed. The "protection" of consumers now will come back to haunt the Centre as demand remains unaffected, increasing the subsidy burden and straining the fisc, not to speak of the impact on the already beleaguered rupee.

Political compulsions are obviously behind the decision to hold retail prices, which is understandable. But good politics does not always sit well with good economics. The NDA government missed more than one opportunity to free prices (and be relieved of the political baggage) when oil prices touched lows several times in the last decade. If consumers had tasted low prices then, they would understand higher prices now when they are peaking. There is surely a lesson here for the future as the oil price cycle will surely turn again once the war ends.

POCKET: The Summer of '26

RAVIKANTH



Should MPC have hiked rates?

MISSED OUT. High inflation expectations, leveraged asset demand and a depreciating rupee are good reasons to hike rates



ABHIMAN DAS
SMITA ROY TRIVEDI

The Monetary Policy Committee (MPC) has decided to hold the policy rates unchanged in the April monetary policy, which remains largely in consonance with market expectations. In the last few months, as conflict in West Asia intensified and fuel pangs were brought home, two differing views emerged on the likely impact on India: first, our economy is resilient and domestic demand-driven which will keep it afloat and on track of growth trajectory even with rupee declines; and second, the current account deficit and rupee woes will jeopardise the growth dynamics.

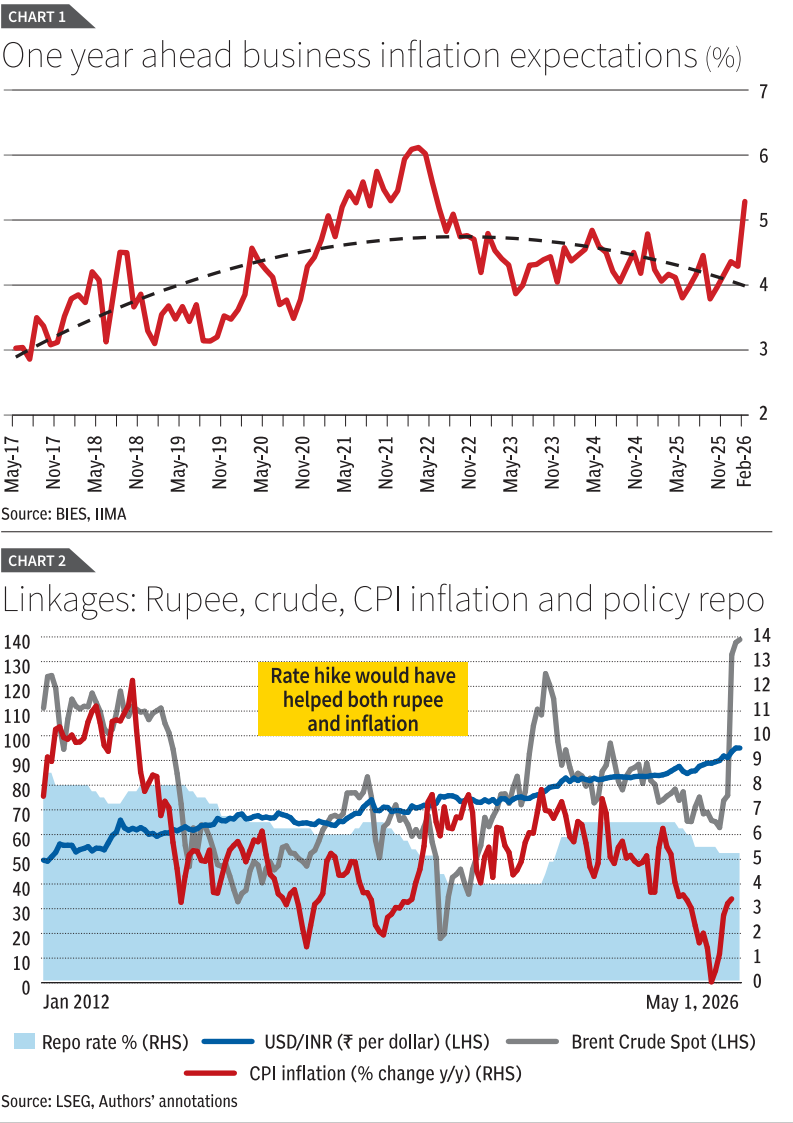
Both the views can be tempered and calibrated with an integrated view of domestic forward-looking indicators and external sector dynamics. First, firm level forward looking indicators clearly suggest a build-up of inflation expectations. With rupee depreciation and consequent rising fuel costs would impact firms first, making them the primary transmission channel of external shocks.

The latest data from Business Inflation Expectations Survey (BIES), conducted monthly by IIMA, that polls a panel of business leaders about their inflation expectations in the short and medium term, shows a marked increase in inflation expectations.

INFLATION EXPECTATIONS
The one year ahead business inflation expectation recorded in March 2026 has shot up sharply by 100 basis points (bps) to 5.29 per cent, from 4.29 per cent recorded in February 2026. This is the highest ever monthly increase during the past nine years of the BIES. The trajectory of one year ahead business inflation expectations is presented in Chart 1.

The uncertainty of business inflation expectations has remained elevated by over 2 per cent during February-March 2026. The RBI in its monetary policy statement has also projected one year ahead CPI inflation to be in the range of 4-5 per cent with an upward risk.

The latest data shows Consumer



Price Index (CPI) inflation climbed to a 13-month high of 3.4 per cent in March an increase from the 3.2 per cent

The only way to prevent inflation from thwarting the limited growth prospects in the medium term is targeting inflation first. Immediate growth sacrifice is a better option before inflation becomes deeply entrenched

recorded in February (*businessline*, April 13, 2026).

Second, the crude prices remain the primary cause of concern, with Chart 2 showing how closely crude is tied to India's inflation figures and rupee depreciation. The supply shock feeds into both domestic growth and exports given the import dependence of export industries. There is no immediate supply side solution to this. With linkages to disposable incomes, firm performance and agricultural sector through fertilizer prices, crude shock directly feeds into consumption expenditure and hence growth. While the situation tends to be stagflationary, doing nothing and

waiting for prices and wages to adjust in the labour market may not be the best option at this point in time. The historical experience suggests a rate cut or rate pause at this stage may not have desired impact. The 1970s experience clearly indicates the only way to prevent inflation from thwarting the limited growth prospects in the medium term is targeting the inflation first. Immediate growth sacrifice is a better option before inflation becomes deeply entrenched.

Globally we are seeing a move towards a hawkish tilt, with both Federal reserve and ECB holding rates steady yet cautioning against inflation driven risks. Markets are repricing this possibility of tightening, and Bank of Japan continues with a tightening phase.

WHY INTEREST RATE HIKE
There are two reasons at least why an interest rate hike would have been the right approach: First, as iterated by the RBI Governor, while credit growth has improved consistently, higher credit offtake might suggest either overoptimistic exuberance or leverage building. This would therefore be the right time for countercyclical policies. With sectors like real estate, gold and personal loans continuing to lead credit growth, a possibility of over-exuberance in face of inching inflation and muted growth suggests tightening would be prudent.

Secondly, a rate hike would have helped to stall rupee depreciation. Interventions with regard to the rupee generally need to be kept to a minimum. First, not only would spot market interventions reduce liquidity, it could push up inflation if followed up with liquidity infusion measures. Second, forward market interventions would build up dollar liabilities in the future, which given the geopolitical situation can be avoided.

Indirect intervention measures to regulate actions of market participants can lead to greater speculation. However, a rate increase would not only encourage foreign capital inflows, but help banks to make policies like FCNR (B) more attractive to attract capital flows.

Thus, a tilt on the hawkish side would have been more consistent with the flexible inflation targeting framework.

Das is ICICI Bank Chair Professor, IIM Ahmedabad, and Trivedi is Associate Professor, National Institute of Bank Management (NIBM). Views are personal

Manufacturing penalises experienced workers

With wage progression favouring younger workers, the sector will struggle to retain skilled, middle-level workers

Jayanta Talukder

Worker protests across India's industrial belts have again become a recurring feature of the economic landscape. The demands are rarely unexpected — a living wage, basic job security and some assurance that spending years on the factory floor will amount to something.

The protests appear to be triggered more by structural issues than by inflationary spike in energy prices or localised disputes over contract terms. In the manufacturing sector, the longer the workers stay, the less they are rewarded. The inversion of labour productivity/wage for low- and medium-skilled workers in their middle years is being hidden under the carpet in our zeal to employ the emerging youth population.

This is one of the more underappreciated vulnerabilities in India's industrial economy, and is becoming harder to ignore. Per PLFS 2025 data, the average salaried manufacturing worker earns ₹18,735 per month, and a monthly income of ₹22,500 places a worker in the top 20 per cent of this group (PLFS, 2025). The bar for relative prosperity is seemingly very low. This is compounded by lack of written contracts (16.5 per cent workers), social security (20.4 per cent) or paid leave (21.1 per cent), and self-employed workers in manufacturing (44 per cent) who have none of these and earn less than the average manufacturing worker.

The wage statistics are worrisome when we cut across demographics. The 2025 PLFS report shows workers in the 15-18 age cohort in manufacturing earn above (₹9,900 per month) their cohort's all-industry average (₹8,800), and enter the market with a competitive edge.

This advantage declines with age as manufacturing workers in their 40s earn almost 20 per cent less (₹21,150) than their all-industry average (₹26,000). Ignoring the negligible real wage gain, a manufacturing worker with 20 plus years of experience earns a little more than twice of what a teenager earns.

Standard human capital theory is also ignored, as the sector seemingly treats older workers not as repositories of accumulated skill but as costs to be managed downwards.

SENIORITY NOT REWARDED
The blame may not lie on any lack of demand for high-skilled manufacturing workers but rather on contract worker arrangements. By design, contract workers are not necessarily rewarded for seniority, they have no increment by tenure or pathway to permanence, allowing contractors to suppress wage growth over time.

The Annual Survey of Industries (ASI) 2023-24 report shows the share of workers employed through contractors steadily increasing from 38 per cent to 42 per cent over the last five years. Older workers are also more likely to be displaced by younger cohorts who are cheaper to employ, without adversely troubling the needle of output or productivity for the employer.



CONTRACT WORKERS. Steady rise in their share in employment REUTERS

In the new post-pandemic era of global fragility and national uncertainty, where input cost shocks are likely to occur with greater frequency, a manufacturing worker cannot accumulate purchasing power over the most productive years of their life, giving rise to a workforce permanently close to the edge. A single health shock is likely to compress household budgets even further.

The all-India PLFS numbers also inherently show inter-State labour migration is no magical escape route, but simply an age-old means of leaving villages and towns bereft of opportunities.

These findings should similarly warn young workers entering manufacturing at competitive wages only to gradually discover the sector offers little upward trajectory. Without adequate skilling, either self-motivated or institutionalised, they will soon be earning less in relative terms, than when they started. The demographic dividend

may be achieved but at a higher cost for the next generations to come.

The new Labour Codes, especially the Industrial Relations and the Code on Wages, can enforce hard lines in contractual arrangements to avoid more casualisation of the workforce.

The national floor wage requires periodical revision to arrest wage suppression at lower ends of the distribution. Industrial policies can also incorporate wage progression benchmarks as explicit conditionalities, ensuring it reaches sector-specific workers who need it the most.

State-level framing of the Codes will also become more critical to the success of such worker protection measures in due course.

Manufacturing is not a peripheral concern in India's growth story. With agriculture shedding surplus labour and services unable to absorb workers into 'good jobs', it remains a singularly important pathway to employment for India's low- and medium-skilled workforce.

A manufacturing sector that rewards youth and punishes experience will struggle to retain skilled workers in the decades to come, and erupt in more social friction spilling across both organised and unorganised sectors. Manufacturing-led growth requires a strong domestic consumption base, and one that needs to feel the implicit bargain of industrial employment is being honoured.

The writer is Associate Fellow at the National Council for Applied Economic Research, New Delhi

✉ **LETTERS TO EDITOR** Send your letters by email to bleditor@thehindu.co.in or by post to 'Letters to the Editor', The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

Voter turnout
This refers to 'The real turnout' (May 1). The record polling figures in recent Assembly elections deserve closer scrutiny. High percentages may suggest vibrant democracy, yet they partly reflect reduced voter rolls after the Special Intensive Revision. True participation must be measured by absolute votes, not percentages alone. Electoral reforms should ensure that genuine voters are never excluded in the rush to update rolls. Credibility lies not in numbers but in inclusion, transparency, and trust in the process. The focus must shift from

statistical triumphs to strengthening voter access and awareness.
Babu Krishna
Bengaluru

The rupee slide
The rupee has fallen significantly, hitting record lows against the US dollar. This depreciation, driven by global and domestic factors, has widespread implications for the economy, including higher import costs and inflationary pressures. Sectors like IT, pharma, textiles, and auto components, which earn in dollars, see higher rupee-denominated profits. NRIs

gain more in rupee terms when sending money home, encouraging higher inflows. RBI interventions have managed to curb excess rupee volatility.
CR Krishnan
Ghaziabad, UP

Tech sovereignty
This refers to 'Why India cannot afford to ignore tech sovereignty' (May 1). When critical access depends entirely on the goodwill of a foreign service provider, sovereignty becomes conditional. India's digital infrastructure has grown impressively, but its control over that

infrastructure has not kept pace. The proposal for a National Technology Sovereignty Council is worth pursuing seriously. Coordinating disparate efforts under one permanent institution, with defined metrics and accountability, is far more practical than piecemeal responses.
Abbharna Barathi
Chennai

AI and lay-offs
This refers to 'Is AI a mere cover to lay off staff?' (May 1). When AI becomes the stated reason for restructuring that was already

planned, it is not transformation — it is convenience with a technology label attached. The disclosure framework proposed here is practical and overdue. Routing AI-related lay-off disclosures through MCA and SEBI, on the same architecture already used for corporate filings, requires no new institution. Mandatory advisory audits before large workforce reductions would separate genuine AI-driven productivity gains from earnings-call narratives.
Swathi Senthilkumar
Coimbatore

QUICKLY.

Gold heads for weekly loss on inflation worries



Gold prices fell more than 1 per cent on Friday and were headed for a weekly loss of a similar magnitude as elevated oil prices continued to fan inflation concerns. Spot gold was down 1.1 per cent at \$4,573.33 per ounce at 1149 GMT, and on track for a weekly loss of 2.8 per cent. US gold futures for June delivery fell 1 per cent to \$4,585.20. Silver prices fell 0.3 per cent to \$73.53 per ounce. REUTERS

Crude oil up with no sign of Iran conflict ending

Crude oil rose on Friday as efforts to resolve the Iran conflict have hit an impasse, with Tehran still blocking the Strait of Hormuz and the US Navy blocking exports of Iranian crude. Brent crude futures for July rose \$1.19 to \$111.59 a barrel by 0149 GMT, while US WTI futures were up 39 cents to \$105.46. REUTERS

Aluminium rebounds on supply concerns



London: Aluminium prices bounced back on fears of supply shortages as the stand-off between the US and Iran continued, constricting shipments from the Gulf region. Benchmark three-month aluminium on the LME rose 1.4 per cent to \$3,522 a tonne. Copper dipped 0.2 per cent to \$12,965. REUTERS

El Nino may last until January 2027, could impact kharif and rabi crops

IMD OUTLOOK. S-W monsoon may set in over Andamans around May 14-16; average rainfall during May to be above normal

Prabhudatta Mishra
New Delhi

The India Meteorological Department (IMD) on Friday said that most global models forecast the emergence of El Nino during the monsoon season and it may last at least until January 2027, potentially bringing lower rain both during the kharif and rabi seasons.

The IMD also said that the monsoon may hit the Andaman and Nicobar Islands around May 14-16.

Currently, El Nino Southern Oscillation (ENSO)-neutral conditions over the equatorial Pacific are evolving towards El Nino, which may continue till January 2027. Though positive Indian Ocean Dipole (IOD) conditions help monsoon rain, the impact of El Nino could overshadow even if the IOD becomes near-positive, said Mrutyunjay Mohapatra, Director General of the IMD.

At present, neutral IOD conditions are prevailing over the Indian Ocean, and

the latest climate models indicate that positive IOD conditions are likely to develop towards the end of the monsoon season.

The kharif sowing season begins with the onset of monsoon on the mainland around June 1, while rabi (winter) crops planting commences in October.

LOWER RAINFALL

The IMD has already predicted below normal monsoon, quantitatively 92 per cent of the long period average of 87 cm in 2026. Last year, the South-West monsoon hit the Kerala coast on May 24, the earliest since 2009 from the normal date of June 1. The onset over the Andaman and Nicobar Islands was also a week earlier on May 13, against the normal May 20.

Briefing the media on the IMD's monthly weather forecast during May, Mohapatra said above-normal heatwave days are likely in some parts of the foothills of the Himalayas, East Coast States, Gujarat and Maharashtra. He said the average



PARCHED. The IMD has predicted above-normal heatwave days in some parts of the foothills of the Himalayas, East Coast States, Gujarat and Maharashtra in May

rainfall over the country as a whole during May is most likely to be above normal.

“During May, minimum (night) temperatures are expected to be above normal across many parts of the country. However, many areas of North-West and some parts of Central India and adjoining areas of south peninsular region are likely to experience normal to below-normal minimum temperatures,” he said.

Also, some parts of East,

North-East and East Central India may witness below-normal rainfall whereas it is expected to be above normal over the remaining parts of India.

Kalyan Goswami, Director General of the Agrochem Federation of India (ACFI), said that good rainfall this month may help boost kharif sowing by ensuring adequate soil moisture. Farmers growing paddy, pulses and oilseeds may get a boost to start sowing on time, potentially

Storage in over 50% of reservoirs below 40% of capacity

Our Bureau
Chennai

Storage in over 50 per cent of India's 166 major reservoirs dropped below 40 per cent of their capacity last week, even as the overall level fell below 40 per cent of capacity, data from the Central Water Commission (CWC) showed.

The CWC's weekly status on the major reservoirs showed that the level in the

southern region dropped below 30 per cent.

The level in the 166 reservoirs was 38.72 per cent of the 183.565 billion cubic metres (BCM) capacity at 71.082 BCM, with storage in the remaining four above 40 per cent. Storage was, however, higher by 14 percentage points a year ago and 26.5 percentage points than normal (past 10 years).

BENGAL PRECARIOUS

According to the India Met-

eorological Department (IMD), over a third of the country received deficient or no rainfall from March 1 to April 29.

However, pre-monsoon rainfall has begun to lash some parts of the country, particularly the South. Storage in the southern region's 47 reservoirs was 28 per cent of the 55.288 BCM capacity at 15.580 BCM. The level in Telangana was the lowest at 20.87 per cent, while it was 24 per cent in Karnataka.

Andhra Pradesh had the highest storage at 39 per cent, while it was 37 per cent in Tamil Nadu, and 28 per cent in Kerala.

With the level in Bengal declining to 12 per cent and in Assam to 18.5 per cent, the 27 reservoirs in the eastern region were filled to 34 per cent or 7.481 BCM of the 21.759 BCM capacity.

MORE DECLINE LIKELY

Storage in 11 reservoirs in the northern region was 43

per cent of the 19.836 BCM capacity at 8.593 BCM.

Storage in the 53 reservoirs of the western region was 45 per cent of the 38.094 BCM capacity at 17.187 BCM.

The 28 reservoirs in the central legion were filled to 45.7 per cent or 22.241 BCM of the 48.588 BCM capacity.

With summer at its peak and heatwaves reported across various parts of the country, storage will likely decline further.

Wheat procurement down 9% on lower buy in Madhya Pradesh

Intake falls				Wheat procurement* (lakh tonnes)	
	2025	2026	% change		
Madhya Pradesh	67.58	27.49	-59.3		
Rajasthan	11.44	9.76	-14.7		
Uttar Pradesh	7.55	7.12	-5.7		
Haryana	65.67	76.58	16.6		
Punjab	103.8	111.02	7		
Bihar*	14,291	19,485	36.3		
All India	256.31	232.53	-9.3		

*In tonne, *Until April 30 Source: CFFP Portal

Prabhudatta Mishra
New Delhi

The Union government procured 23.25 million tonnes (mt) of wheat for its buffer stocks as of April 30, down from 25.63 mt a year ago. This was mainly due to purchases in Madhya Pradesh being low. It procured 2.75 mt, down 59 per cent from 6.768 mt a year ago, despite improvement in procurement during the second fortnight. The Centre plans to buy 34.5 mt of wheat by June 30 this year.

However, with daily arrivals falling in Haryana and Punjab, procurement may be completed before May 15, with 97 per cent of the target achieved. Daily arrivals on April 30 were 3.38 lakh tonnes (lt) against 4.07 lt a year ago in Punjab and about 25,900 tonnes against over 46,000 tonnes in Haryana.

According to the latest data, procurement in Punjab reached 11.10 mt (including about 10.5 mt only in the second fortnight) against 10.39 mt a year ago, up by 7 per cent. The Centre has fixed a target to procure 11.2 mt from Punjab in 2026-27, against 11.92 mt in 2025-26.

Notably, the current year's purchase also includes 1.81 lt of grain under relaxed quality even as there were reports of widespread lustre loss in several districts due

to unseasonal rain and hailstorms in Punjab.

HARYANA TARGET

In Haryana, the Centre has purchased 7.66 mt, exceeding the target of 7.2 mt, and is up by 17 per cent from 6.57 mt a year ago. In 2025-26, the Centre bought 7.14 mt of wheat from Haryana.

The purchase in Madhya Pradesh continued to trail from the year-ago level despite improvement in the second fortnight. The fall was 91 per cent in the first 15 days despite purchases being allowed from March 15 instead of April 1. The drop has narrowed to 13 per cent over the past 15 days.

Even with lower purchase, the Centre raised the overall target in the State from 7.8 mt to 10 mt. In 2025-26, the Centre procured 7.77 mt from Madhya Pradesh. Besides, the State government has been implementing additional bonus over and above the minimum support price (MSP) of ₹2,585 per quintal.

The purchase in Uttar Pradesh reached 7.12 lt against 7.54 lt and in Rajasthan 9.76 lt from 11.44 lt. In Bihar, the procurement reached 19,485 tonnes, up 36 per cent from 14,291 tonnes a year ago.

The government last week raised the purchase target in Uttar Pradesh from 1 mt to 2.5 mt, in Rajasthan from 2.1 mt to 2.35 mt and in Bihar from 0.18 lt to 1.8 lt.

UAE's exit from OPEC could benefit India in the long term

bl.explainer

Richa Mishra
Hyderabad

Remember the famous song by Queen, “I Want to Break Free”?... Well, it seems that is what the United Arab Emirates (UAE) wanted to do from OPEC and OPEC plus, while singing, “I don't need you; I've got to break free!”

Effective May 1, 2026, the UAE has freed itself from the Organization of the Petroleum Exporting Countries (OPEC) — a permanent inter-governmental organisation — with a primary mission to coordinate and unify petroleum policies among member countries to ensure stable oil prices and a regular supply to consuming nations.

For the UAE, experts and commentators see this move as a strategic shift to prioritise national interests and monetise its massive production capacity, which was previously constrained by cartel quotas.

But what does it mean for India?

How does it affect India's energy security?

Currently, the UAE is among the top five crude oil suppliers for India. In the long term, the exit from OPEC means that it can offer higher volumes and have more flexible supply arrangements without any restrictions. On its part, India has been looking at diversifying its crude sourcing basket. This gives Indian refiners an opportunity to negotiate and get volumes in a competitive supply environment.

India can also strengthen its bilateral energy partnerships and look at more collaboration for its Strategic Petroleum Reserves, besides growing cooperation with ADNOC.

Will oil prices in India go down?

While the fluctuations in international prices do have an



CARTEL RECAST. Effective May 1, the UAE exited the Organization of the Petroleum Exporting Countries, the intergovernmental group that coordinates member nations' oil policies to stabilise prices and ensure steady global supply

impact on the Indian crude oil basket or the price at which Indian refiners source their oil, at the retail end pricing is largely governed by politics.

According to reports, analysts expect downward pressure on global prices as the UAE aims to ramp up capacity to 5 million barrels per day (bpd) by 2027.

Every \$1-per-barrel drop in oil prices is estimated to save India approximately \$1.1 billion to \$2 billion annually in import costs, analysts estimate.

What are the logistical advantages?

There is a logistical advantage due to the geographical proximity between India and the UAE.

The UAE is significantly closer to India than the other major oil exporters, such as the US or Brazil, leading to lower freight costs and shorter delivery cycles.

The UAE's Fujairah Port on the Gulf of Oman allows some crude to bypass the troubled Strait of Hormuz, providing a more secure transit route during regional conflicts.

Will it supplement rupee trade in oil?

Time and again, debate has happened on de-dollarisation of the oil trade. It is a strategic global shift, where nations move away from using the dollar as the primary currency for energy transactions.

This trend has gained significant momentum, driven by geo-political risks and the desire for currency stability.

Trading in local currencies helps India reduce its reliance on the dollar, potentially stabilising the rupee and lowering exchange rate risks, experts point out.

An independent UAE energy policy is expected to accelerate the oil-for-rupee trade.

Observers believe that UAE's exit from OPEC will be a game changer for de-dollarisation.

By operating outside the cartel's dollar-pegged framework, the UAE has more freedom to negotiate direct, bilateral trade deals in non-dollar currencies.

India and the UAE have already established mechanisms to trade oil in Indian Rupees and AED (United Arab Emirates Dirham).

This eliminates the need for a third-party currency and protects India from US dollar volatility.

Agrizy opens botanicals lab for wellness markets

Our Bureau
Bengaluru

Agrizy, a contract research, development and manufacturing organisation (CRDMO) for global food and beverage (F&B) as well as wellness brands, has announced the launch of its phytochemistry R&D laboratory.

The facility is designed to produce high-performance botanical ingredients while improving the value flow across India's herbal supply chain, from farm to finished product, the company said in a statement.

GLOBAL STANDARDS

Strategically positioned to cater to the \$650 billion global nutraceutical market, including India, the facility aims to meet the growing demand for scientifically validated and regulatory-compliant botanical ingredients.

Although India has a strong advantage in raw materials, its competitiveness in this evolving market relies on scientific validation, standardisation and regulatory compliance.

“This investment enhances our capability to develop scientifically validated herbal ingredients that comply with global standards and deliver consistent performance. By combining traditional botanical knowledge with advanced research, extraction technologies and strong quality systems, we are creating standardised ingredients that meet international expectations,” said S Vijaya Kumar, CEO, Wellness, Agrizy. It collaborates with farmers and FPOs and village level aggregators across Karnataka, Maharashtra, Tamil Nadu and Bengal, key regions known for botanicals such as turmeric, coleus, bacopa and ashwagandha.

Supply-side risks may support zinc; trade may remain volatile

Subramani Ra Mancombu
Chennai

Zinc prices, which have dropped over 2.5 per cent in the past week, will likely be supported by supply-side risks, though the trade could remain volatile, analysts have said.

“Zinc prices are expected to remain supported by supply side risks, even as zinc consumption growth slows to 1.9 per cent in 2026 from 2.2 per cent in 2025,” said research agency BMI, a unit of Fitch Solutions.

The recent sharp decline was the result of a confluence of four bearish factors — a demand vacuum, profit-booking, a surplus of refined material in February and the retreat of macro-economic risk appetite, said SurnSirs Commodity data group.

PRICE FORECAST

“We are revising our 2026 zinc price forecast to \$2,950/tonne from \$2,780 previously, with prices set to remain underpinned by persistent input-cost pressures,” said BMI.

Zinc prices averaged \$3,277/tonne year-to-date as of April 17 and are up 8 per cent year-on-year, extending the 2025 momentum, when prices averaged \$2,867, supported by sizeable stock withdrawals and growing expectations of tighter supply.

In its *Commodity Outlook*, the World Bank said global zinc production is expected to increase modestly in 2026, with rising mine output in major producing countries improving concentrate availability, but elevated energy costs tempering the expansion of refined output.

“Against this backdrop, prices are forecast to in-



POOR OFFTAKE. However, zinc consumption may slow down to 1.9 per cent this year, said BMI

crease by about 5 per cent in 2026,” it said.

IRAN WAR DISRUPTIONS

Zinc prices increased in the first quarter this year by 2 per cent compared with the last quarter of 2025 and extended gains in April. This was due to disruptions to zinc concentrate supplies linked to the conflict in West Asia, and weaker deliveries

from other sources hindering Chinese smelting output, the World Bank said.

BMI said zinc prices experienced volatility in the first quarter, with early-year gains driven by supply-side concerns later offset by macro-led uncertainty following the escalation of the US-Iran conflict in late February.

In recent weeks, prices

have rebounded as the conflict intensified concerns around the availability of key inputs, exacerbating existing pressures on smelters, it said.

The World Bank said continued weakness in China's property sector is expected to weigh on steel consumption and galvanizing activity, dampening zinc demand in 2026-27.

“Rising zinc consumption related to growing global investment in infrastructure, power grids and renewable energy installations is likely to provide some offset, resulting in modest global demand growth overall,” it said.

BMI said the Iran war had compounded pre-existing tightness in the sulphur market. It had exacerbated input-cost risks for smelters and emerged as a key driver of prices.

QUICKLY.

Repolling in 15 booths in West Bengal today: EC

New Delhi: The Election Commission on Friday ordered repolling on May 2 in 15 polling stations — 11 in the Magarhat Paschim Assembly constituency and four in Diamond Harbour — in West Bengal, where voting was held on April 29. In a letter to the Chief Electoral Officer of West Bengal, the Election Commission (EC) said the decision was based on inputs received from the State poll machinery. [PTI](#)

Power consumption up 4% to 154 BU in April

New Delhi: Power consumption in the country witnessed 4 per cent growth to 153.99 billion units (BU) in April compared to the year-ago period as unseasonal rain subdued power demand, especially in the first half of the month, according to official data. The country's total power consumption was 148 BU in April 2025. However, power demand rose in the latter part of the month due to heatwave conditions, and the peak power demand jumped to a record high of 256.11 GW last month from 235.32 GW in April 2025. Peak power demand may hit 270 GW in the summer of 2026, the Ministry said. [PTI](#)

BIS formalises safety norms for mobility aids

New Delhi: The Bureau of Indian Standards (BIS) has published six new standards for assistive products, ranging from elbow crutches to portable wheelchair ramps, as the country moves to align its disability-aid industry with international benchmarks. The standards were developed under the Indian Council of Medical Research's National List of Essential Assistive Products initiative, the Consumer Affairs Ministry said. [PTI](#)

India, UK exploring ways to leverage CETA to boost trade

TAPPING POTENTIAL. Discussed ways to further enhance the benefits of ties, says Goyal

Our Bureau
New Delhi

Commerce Minister Piyush Goyal and UK Secretary of State for Business and Trade Peter Kyle discussed boosting trade under the India-UK free trade pact in a virtual meeting on Friday as the two sides prepare to implement the agreement.

“We explored ways to further enhance our trade & investment ties while fully leveraging the opportunities under the India-UK Comprehensive Economic and Trade Agreement (CETA),” Goyal posted on social media platform ‘X’ after the interaction.

India and the UK signed the CETA in July 2025, and Goyal earlier indicated that it was likely to be implemented by May.

The implementation will happen once all domestic processes for ratification are complete, officials said.

Once implemented, the UK will eliminate tariffs for India on about 99 per cent of tariff lines. Agriculture, food



A file photo of Union Minister Piyush Goyal with UK Secretary of State for Business and Trade Peter Kyle [ANI](#)

processing, seafood, textiles, engineering goods, electronics, footwear and gems & jewellery are among the sectors that will benefit most.

TARIFF-FREE ACCESS
India agreed to give tariff-

free access to the UK on 85 per cent of its tariff lines spread over 10 years, resulting in significant gains for whisky and liquor, automobiles, advanced manufacturing and agri-food products. India also hopes to make

gains in the services sector as the agreement provides deeper market access across IT, financial services, education and healthcare.

It also creates a structured framework for the temporary movement of professionals. Business visitors, contractual service suppliers and independent professionals can now access the UK under clear and predictable entry rules.

Up to 1,800 Indian chefs, yoga instructors and classical musicians can work in the UK every year under these provisions.

BIG SAVINGS
The Double Contribution Convention (DCC), which exempts Indian workers and their employers from paying UK social security contributions for up to three years when on temporary assignments, is expected to lead to big savings. “Around 75,000 workers and over 900 companies are expected to benefit, resulting in savings of more than ₹4,000 crore,” per government estimates.

Himadri Speciality plans to double profitability

Our Bureau
Mumbai

Himadri Speciality Chemical has announced a roadmap to more than double its profitability by FY28.

The company expects to cash in on the investments made in the last few years by catapulting its revenue and profitability, said the company in its annual report.

“Growth at Himadri continues to be shaped by purposeful innovation, with

R&D embedded at the core of strategy, business model and culture. This integrated approach is driving steady progress across strategic pillars,” said Anurag Choudhary, Chairman and CEO, Himadri Speciality.

In FY’27, the company will achieve a full year of operations of the capacity expansion in speciality carbon black.

TYRE OUTPUT TO GROW
Himadri also intends to ramp up the capacity of Birla



Anurag Choudhary, Chairman and CEO, Himadri Speciality

Tyres and enter the high margin off highway tyres

(OHT) and commercial vehicle segment.

DOWNSTREAM CHEM
In its core chemicals business, Himadri Speciality Chemical is planning forward integration to produce anthraquinone and carbazone, which it expects to be completed by the second quarter of this financial year. “The commencement of the facility is on track in the coming quarters and will meaningfully reduce India’s dependence on imports

India, UAE trade exceeds \$100 b after pact: Goyal

Press Trust of India
New Delhi

The India-UAE free trade agreement, which came into force in May 2022, has helped bilateral trade to cross \$100 billion, Commerce and Industry Minister Piyush Goyal said on Friday.

The Comprehensive Economic Partnership Agreement (CEPA) with the UAE acts as a gateway to Africa, other GCCs and West Asia, the Commonwealth of Independent States (CIS) countries and Europe.

The bilateral trade stood at \$101.25 billion in 2025-26, compared to \$100.03 billion in 2024-25.

The trade, he said, had expanded in key sectors like gems and jewellery, engineering goods, electronics and agriculture.

During 2025-26, India’s exports to the UAE rose about 2 per cent to \$37.36 billion, while imports were up 0.77 per cent to \$63.89 billion, resulting in a trade deficit of \$26.53 billion.

FDI from the UAE into India stood at \$2.45 billion during April-December FY26. It was \$4.34 billion in 2024-25.

GIFT City’s watering holes scale new highs



Revenues earned (in ₹)			
FY	Hotel Grand Mercure	GIFT City Club	Total
2023-24*	41,750	78,432	1,20,182
2024-25	13,26,855	18,01,115	31,27,970
2025-26	46,56,119	1,48,13,621	1,94,69,740

*December to March

Avinash Nair
Ahmedabad

A quiet policy shift in India’s most tightly regulated alcohol market is beginning to show up in the numbers. At GIFT City, revenues from “wine and dine” facilities have seen significant traction following a gradual easing of liquor access norms.

The impact is now becoming visible in absolute terms. Revenues from these facilities rose to ₹1.94 crore in FY26 from ₹31.27 lakh in FY25, even as the State continues to enforce prohibition elsewhere.

SPREADING CHEER

While the revenue base remains modest, the sharp rise underscores how demand responds quickly when access barriers are lowered, even within a tightly controlled ecosystem.

This growth comes barely a year after controlled liquor access was first allowed in the greenfield financial hub in December 2023.

Liquor sales in GIFT City are currently restricted to just two entities — the Grand Mercure Gandhinagar GIFT City and GIFT City Club, operated by West India Recreation Projects Pvt Ltd.

Revenue at Grand Mercure rose 3.5 times year-on-year, while the GIFT City Club saw an eight-fold jump,

indicating strong latent demand. Officials attribute the surge to a calibrated easing of prohibition norms by the Gujarat government.

EASING ACCESS

The revised framework allows non-resident visitors to access liquor by simply producing a valid photo ID, removing the earlier requirement of obtaining a liquor permit.

Permit holders can now host up to 25 guests at a time, while diners without permits are allowed entry into wine-and-dine areas for food. Employees working in GIFT City are also eligible to obtain liquor access permits based on their ID cards, further widening the pool of eligible consumers within the restricted zone.

Since 2024, a total of 1,320 liquor permits, including six group permits, have been issued in GIFT City.

The State government earned about ₹26.5 lakh from permit fees so far. Individual permits are priced at ₹2,000 with a validity of two years, while group permits cost ₹5,000. According to industry sources, the GIFT City model is increasingly being seen as a limited but significant experiment in relaxing prohibition norms to support a global business environment, without diluting the broader policy framework in Gujarat.

GCCs provide stable income visibility for longer tenures: Mindspace REIT CEO

bl.interview

Janaki Krishnan
Mumbai

Ramesh Nair, CEO, Mindspace Business Parks REIT, struck a confident note on the outlook for office demand, highlighting that global capability centres (GCCs), which account for over 50 per cent of the portfolio, are driving resilient, high-quality leasing with long tenures and lower cyclicity. “GCCs are willing to give us longer tenures, which means there is more stability of income for us,” Nair said.

Edited excerpts:

GCCs form around half of your leasing portfolio. Can you give more colour on this trend?

So, the first point is 50 per cent of our portfolio comprises GCCs, 20 per cent IT services and 30 per cent large

Indian domestic organisations. GCC demand is spread across sectors such as technology, BFSI, manufacturing and engineering.

India currently has around 2,900 GCCs, which we expect to grow to about 4,400 by 2030. Employment in this segment is projected to increase from 1.9 million to 2.8 million, and the industry size from \$65 billion to about \$105 billion.

Three things we have seen with GCC clientele — they are a lot stickier to their locations, they employ a significant amount of higher skill talent, and they have a lot less cyclicity compared to IT services.

GCCs are also willing to give us longer tenures, which means there is more stability of income for us.

Typically, GCCs do not have a problem signing 10-plus year leases, with longer lock-ins.

In terms of pricing, is

there any pushback from large global occupiers, and what is the trend in rentals?

Exactly the opposite. In my 26 years in the industry, I have not seen this kind of rental growth as in the last two years. Let us not go by one-month data.

Now, construction costs, for example, have gone up 6.5 per cent since January, but you should also remember that we do not buy all the paint right now, we do not buy all the cement today.

We buy cement over a period of three years, we buy aluminium over a period of 2.5 years, so in that time we can spread out the costs.

Are you seeing any slowdown at all?

We have not experienced any slowdown ourselves. However, we are hearing from the market that in some cases decision-making has slowed. This could be due to limited international travel and some

GCCs are a lot stickier to their locations, employ a significant amount of higher skill talent, and they have a lot less cyclicity compared to IT services

RAMESH NAIR
CEO, Mindspace Business Parks REIT



caution around capex. During periods of global uncertainty, historically, companies tend to slow down capex.

Your re-leasing spreads were about 40 per cent this quarter. Is that sustainable over the next couple of years?

A 40 per cent spread is strong, but for the next couple of years, a more sustainable number would be around 20 per cent.

Returning to rentals, how much of this rental upside is cyclical versus structural?

Demand is currently exceeding supply in most markets. Hyderabad is a great example — vacancy in key micro-markets like Madhapur is around 2 per cent. In Mumbai’s BKC, vacancy is below 1 per cent. Another important factor is industry consolidation.

While there are about

14,000 developers in India, only 15-16 have a multi-city office development strategy. We are among that group, which gives us a competitive advantage.

So, both cyclical supply constraints and structural factors like asset quality are driving rental growth.

Is your high exposure to Hyderabad a risk?

Not at all. In fact, it is benefiting us. Hyderabad is a very strong market today, with about 46 per cent of new GCCs setting up there. It is seeing over 25 per cent rental growth, supported by strong infrastructure, talent availability and social infrastructure. Today, we are benefiting so much from this 40 per cent in Hyderabad.

Your presence in Chennai has increased. What is the strategy there?

When we evaluated which market to enter for acquisi-

tions, Chennai came out on top. The vacancy in Chennai is around 7 per cent, compared to the national average of 15 per cent. In terms of upcoming institutional supply, Chennai again ranked the highest, given the relatively limited supply pipeline.

That is why we chose to acquire two assets there — where we can effectively control supply and build a strong market position. With these acquisitions, we become the second-largest owner/developer of office space in Chennai.

There are a few key aspects to these assets. Both were acquired from institutional players — K Raheja Corp and CapitalLand. They are premium, high-quality assets with strong sustainability credentials and low carbon footprints. They are also trophy business parks with clear mark-to-market potential; we have the ability to release them at higher rentals going forward.

High-level panel to enable banks leverage their capital: DFS Secretary

Press Trust of India
New Delhi

Financial Services Secretary M Nagaraju on Friday said the High-Level Committee on Banking for Viksit Bharat announced in this year’s Budget will look into public sector bank balance sheet constraints to enable them to leverage their capital.

The government is expected to announce the terms of reference for the panel.

“This committee is expected to review the banking sector with a focus on making it more effective, more inclusive and better aligned with India’s growth needs, while maintaining financial stability,” he said at the ICGP Growth Conference here.

ACCESS TO CAPITAL
On the deepening bond mar-

ket, Nagaraju said India needs to develop its corporate bond market so that companies that are not top rated also get access to capital.

“In India, 90-95 per cent of bond issuances are from companies that are AA or above rated. In US, the bulk of the market is A and BBB rated. The middle tier of bond market doesn’t exist.” Therefore, he said, companies face difficulty in raising funds in long-duration tenors, and long-term capital borrowers must tap the corporate bond market for funds. “The ability of long-term institutional investors to participate more actively in the corporate bond market will be an important factor in determining how deep and liquid that market can become,” he said.

Financial sector regulators, the government and the

high-level committee on banking will have to consider the interlinkages with the banking sector at large.

Nagaraju stressed that a well-functioning bond market gives companies a direct route to long-term capital, improves price discovery and creates competition that keeps borrower costs honest across the system.

“If capital reaches only the most credit-worthy borrowers, the financial system is doing its job at a basic level. If it also reaches those who are viable, but currently underserved, the system is working efficiently,” Nagaraju said.

“The question is whether capital is affordable for the farmer, the small business that wants to expand or the infrastructure project that needs long-term financing,” he said.

Mysore Sandal soap maker to set up ₹228 cr production unit

Our Bureau
Bengaluru

The Karnataka Cabinet has approved the proposal to establish a production unit of the State-owned Karnataka Soaps and Detergents Ltd (KSDL) in Vijayapura at a cost of ₹227.91 crore.

Large and Medium Industries and District In-charge Minister MB Patil said KSDL, which offers a range of 94 quality products, including the iconic Mysuru Sandal soap, enjoys strong demand not only in North Karnataka but also in neighbouring States such as Telangana, Andhra Pradesh and Maharashtra.

Keeping this in view, a manufacturing unit will be set up on 50 acres in the Ittangihal industrial area of Vijayapura. This is expected to promote industrial growth,



generate employment and expand market reach in the region, he said.

PROJECT COST

The total project cost of ₹227.91 crore includes ₹30 crore for land acquisition, ₹77.88 crore for construction, ₹24 crore for infrastructure and ₹70.80 crore for machinery. He added that several initiatives had been undertaken over the past three years, including branding, promotion, marketing, quality management, exports and e-commerce.

Karnataka allots 140 acres to Applied Materials of US

Our Bureau
Bengaluru

The Karnataka Cabinet has approved the allocation of 140 acres at Bengaluru Signature Business Park (BSBP), located near Kempegowda airport, for ₹780 crore to US-based semiconductor equipment major Applied Materials Inc.

The Cabinet suggested that the cost be pegged at ₹780 crore with the consideration of the land at ₹1,288 per sq ft.

The business park is emerging as a key destination for high-tech industries and occupies over 400 acres.

Law and Parliamentary Affairs Minister HK Patil said the allocation was done on a lease-cum-sale basis subject to regulatory clearances and final pricing mechanisms after examin-

The State Cabinet has suggested that the land cost be pegged at ₹780 crore at ₹1,288 per sq ft

ing valuation norms aligned with guideline value.

The government will review mechanisms for the disposal of the 267 acres of land remaining through diverse modes, which also includes competitive bidding and transaction advisers.

It is also set to re-examine BSBP’s land disposal policy. This decision is in line with the State’s aggressive push to its semiconductor and advanced technology strategy.

Concorde leases 1.4 lakh sq ft office space at Econex Bengaluru

Our Bureau
Bengaluru

Bengaluru-based Concorde has leased 1.4 lakh sq ft of grade-A office space at Concorde Econex at an annual rental value of ₹16 crore from BHIVE Workspaces.

The facility is located in the prominent tech corridor of Doddanekkundi in Bengaluru; the partnership is structured as a long-term commitment, with a 15-year lease that will enable BHIVE to add over 3,000 seats in the city.

The deal underscores the continued boom in east Bengaluru, particularly in areas such as Whitefield, Marathahalli and the Outer Ring Road corridor, which are home to some of India’s largest information technology parks and multinational companies, which include Bagmane Tech Park and Google’s Ananta campus.

On the residential front, east Bengaluru continues to hold the highest share of unsold housing stock at 43 per cent, followed by north Bengaluru at 32 per cent, according to Anarock.

In terms of budget segmentation, high-end units account for the largest share of available inventory at 38 per cent, followed by luxury housing at 31 per cent and mid-segment homes at 19 per cent. Ultra-luxury residences make up 8 per cent of the stock, while the affordable segment accounts for a modest 5 per cent.

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US confirms deal with seven AI companies

Washington: The Pentagon said on Friday that it had reached agreements with seven AI companies to deploy their capabilities on the Defense Department's classified networks. SpaceX, OpenAI, Google, NVIDIA, Reflection, Microsoft and Amazon Web Services will be integrated into the Pentagon's Impact Levels 6 and 7 network environments to "streamline data synthesis, elevate situational understanding, and augment war fighter decision-making in complex operational environments," the statement said. REUTERS

CuraTeQ gets Health Canada nod for biosimilar

New Delhi: Aurobindo Pharma on Friday said its arm CuraTeQ Biologics has received a compliance notice from Health Canada's Biologics and Radiopharmaceutical Drugs Directorate for its bevacizumab biosimilar Bevqolva, indicated in the treatment of different types of cancer. PTI

US Treasury warns ships not to pay Hormuz tolls

Washington: Any shipper paying tolls to Iran for passage through the Strait of Hormuz, including charitable donations to organisations such as the Iranian Red Crescent Society, is at risk of punitive sanctions, the US Treasury warned on Friday. Tehran has proposed fees or tolls on vessels passing through the Strait as part of proposals to end the war with Israel and the United States. The Treasury Office advised companies this week that paying the tolls puts them at risk, but clarified on Friday that payments disguised through charity or indirect payments are not allowed. REUTERS

Centre allows *force majeure* relief for govt contracts hit by West Asia war

PENALTY WAIVER. Govt permits extension of contractual timelines without penalties in affected cases

Rohit Vaid
New Delhi

The Centre has recognised the ongoing West Asia situation as a *force majeure* event, allowing extension of contractual timelines by two to four months without penalties in cases where supply chain disruptions have affected execution of government contracts.

According to an office memorandum issued by the Ministry of Finance's Department of Expenditure on April 29, procuring entities may invoke *force majeure* for contracts impacted directly or consequentially by disruptions linked to the prevailing West Asia situation.

Notably, the clarification follows representations made by all the major industry bodies to the Ministry of Finance regarding supply

chain disruptions affecting the drone sector.

Per the memorandum, the ongoing West Asia situation should be treated as "war" for the purpose of invoking *force majeure* provisions under government procurement rules.

Consequently, contractual obligations due on or after February 28, 2026, may be extended for a period ranging between two and four months without imposition of penalties or additional costs.

CASE-BY-CASE BASIS
The extension period will be determined by procuring entities on a case-by-case basis after examining the admissibility of *force majeure* claims.

Besides, the memorandum stated that delays in delivery or completion arising from *force majeure*



INDUSTRY PUSHBACK. The clarification follows representations from major industry bodies to the Ministry of Finance regarding supply chain disruptions

events should not attract liquidated damages or denial clauses where suppliers, contractors, consultants or service providers are not at fault.

However, invocation of *force majeure* will be considered valid only where parties to the contract were

not already in default of their obligations as of February 27, 2026.

Further, the memorandum also clarified that relief would apply only to non-performance directly attributable to disruptions arising from the West Asia situation. On their part, industry

stakeholders said the clarification acknowledges challenges faced by sectors dealing with component shortages, logistics delays and export restrictions.

PERMIT INVOCATION
Drone Federation India's President Smit Shah said the government's decision to permit invocation of *force majeure* in light of the ongoing West Asia situation is a timely step for the drone and defence manufacturing ecosystem.

The industry, Shah said, had been dealing with component shortages, logistics delays and tighter export controls over recent months, affecting delivery timelines.

In addition, he said the move provided greater predictability for manufacturers while supporting efforts to build a resilient and self-reliant drone ecosystem.

Noida airport to start ops from June 15

Rohit Vaid
New Delhi

The Noida International Airport (NIA), located in Jewar township of the Greater Noida area, will begin commercial flight operations from June 15.

The launch of services follows the inauguration of the airport by Prime Minister Narendra Modi, and the receipt of approval for the Aerodrome Security Programme from the Bureau of Civil Aviation Security.

The airport operator on Friday said that the approval

confirms that the airport's security framework, systems and operating procedures are in place in line with regulatory requirements ahead of the start of commercial services.

SCHEDULE SOON
As per NIA, the commencement of operations is expected to create a new aviation gateway for passengers, airlines and cargo operators in the National Capital Region and north India.

Notably, IndiGo will operate the first flight from the airport, marking the beginning of scheduled passenger

services. This will be followed by operations from Akasa Air and Air India Express.

Further details regarding schedules, destinations and passenger services are expected to be announced subsequently.

MEETING NEEDS
The airport, developed to cater to growing air travel demand, features modern terminal infrastructure, operational systems and multimodal connectivity.

According to NIA, the airport has been designed to offer an efficient passenger

journey while supporting airlines through cost-effective and reliable operations.

Besides, the start of commercial operations is expected to support regional connectivity and contribute to economic activity across the wider region. The airport, which carries the IATA code DXN, is intended to serve the greater Delhi region and western Uttar Pradesh.

PASSENGER CAPACITY
The project is being developed, constructed and operated by Yamuna International Airport Private Limited, a wholly-owned

subsidiary of Zurich Airport International AG.

CONCESSION PERIOD
The concession period for the airport commenced on October 1, 2021, and will remain valid for 40 years.

In its first phase, the airport includes one runway and one passenger terminal with an annual handling capacity of 12 million passengers.

Under the aviation facility's masterplan, the airport is expected to be expanded over time to serve more than 70 million passengers annually.

Airlines penalising pilots for filing fatigue reports, says association

Aneesh Phadnis
Mumbai

Pilots are being discouraged and penalised for filing fatigue reports, the Airline Pilots' Association of India (ALPA) said on Friday.

The association has called for public disclosure and a review of fatigue report data filed with the civil aviation regulator. ALPA made this demand following the untimely deaths of two pilots this week.

The Directorate General of Civil Aviation (DGCA) requires airlines to establish a fatigue report management system. Airlines have to submit fatigue reports filed by pilots on a quarterly basis.

Data obtained from DGCA by NGO Safety Matters Foundation on the subject revealed a disturbing trend. "Air India received 1,578 fa-



TRANSPARENCY PUSH. The association has called for public disclosure and a review of fatigue report data filed with the civil aviation regulator DGCA

tigue reports from its pilots in 2025 and rejected 860 of them — a 54.5 per cent rejection rate. IndiGo received 8,721 reports and rejected 8,449 — a 96.9 per cent rejection rate," Captain Amit Singh of Safety Matters Foundation said in his report on Friday.

Air India Express accepted all 278 reports filed in 2025, it said. IndiGo declined to comment, and Air India did

not respond to an email.

Singh said that whenever an airline receives a fatigue report, the standard line of analysis is 'Did the pilot fly in excess of the DGCA prescribed time limit?' Since the answer is invariably no, the report is closed, he said.

ALPA said the information indicates an alarmingly low rate of acceptance of fatigue reports by operators. "Such trends are inconsistent with

the principles of a just safety culture and undermine fatigue risk management systems," Captain Sam Thomas, President of ALPA India, said in a letter to the DGCA.

TIME-BOUND ROADMAP
The association demanded a time-bound roadmap for full implementation of flight duty time rules. It said extensions granted to various airlines posed a safety risk and should be withdrawn.

"The continued occurrence of untimely pilot fatalities and adverse health outcomes, particularly following the introduction and operational misuse of consecutive night duties, warrants urgent attention. Recent aviation incidents further reinforce the need to ensure that flight crew are not merely compliant with limits but are genuinely well-rested and operationally fit," the association said.

Apple posts record March quarter and double-digit revenue growth in Q2

Vallari Sanzgiri
Mumbai

Apple Inc announced a record March quarter and a strong double-digit revenue growth in India and other emerging markets in the second quarter of FY26, led by "extraordinary" customer enthusiasm for its flagship iPhones.

The company posted quarterly revenue of \$111.2 billion, up 17 per cent year-on-year but down 22 per cent sequentially, owing to supply constraints.

iPhone revenue grew 22 per cent on-year basis to \$57 billion, driven by the iPhone 17 products, with double digit growth in the majority of markets, including India, Japan and Southeast Asia, among others.

HUGE OPPORTUNITY
On the Indian market, Tim Cook, Apple CEO, said he



was "over-the-moon excited" about the country. "It's the second-largest smartphone market in the world and the third-largest PC market. Despite doing extremely well there for quite some time, we still have a modest share. That really speaks to the opportunity that we have," said Cook.

iPhone 17e, the newest addition to the iPhone lineup, performed as the "most powerful, capable, and versatile iPhone family" created by the company.

The iPhone 17 series ac-

counted for more than 60 per cent of shipments in the quarter, reflecting the brand's successful strategy of prioritising its newest flagship models, as per IDC data. The remaining volume was comprised primarily of previous-generation models as Apple focused its marketing and supply chain efforts on the current lineup.

"The results underscore the high aspirational value of the Apple brand in India. Even with a reduction in the aggressive discounting and affordability programmes seen in Q1'26 compared to previous quarters, Apple achieved strong double-digit value growth. This performance highlights a maturing consumer base that prioritises premium experiences and the latest innovations over older, discounted hardware," said Upasana Joshi, Senior Research Manager, IDC India.

Mac revenue was \$8.4 bil-

lion for the March quarter, up 6 per cent from a year-ago, despite supply constraints driven by higher-than-expected levels of demand. According to IDC, Apple gained market share in the quarter.

FUTURE COMPETITION
With Apple projected to grow in market share through 2026 and 2027, Tarun Pathak, Research Director at Counterpoint, argued that growing AI-ready installed base is laying the ground for their multi-year services growth.

"Apple remains positive on memory supply but is more constrained on the availability of advanced node SoC. Smartphone OEMs are expected to increasingly transfer the BoM (Bill of Materials) rise to end consumers. This also means more Android flagships entering iPhone's territory," he said.

tinue, and we should continue to grow our new business, especially in tier three cities where we have a very strong business and the under penetration is there when it comes to health insurance.

What kind of annual insurance premium increase is the company planning for this fiscal?
We will take price increases on an annual basis. So, for the current year also we have planned for certain price increases. Roughly 80 per cent of the portfolio will undergo price increase for FY27. It will help us beat inflation. In the last financial year, the average price increase on portfolio was eight to nine per cent — high single digit. We would take a similar price increase in the current year.

In the retail health segment, Star Health

and Allied Insurance's market share is the highest in the country. What are the company's plans to increase the market share further in FY27?

Currently, we have 31.4 per cent market share in retail health.

It was around 31 per cent for the last three-four years now. In spite of the competition, we do only profitable business. We don't do businesses in loss making areas, we are still making that market share.

So, it is by design, we are happy to let go around 60-70 basis point market share. But as long as we are profitable, we are fine with it. We expect the market to grow 15-18 per cent range going forward, and we are growing at a similar range. So, we should maintain the market share, or may be marginally improve it.

Trump likely to raise tariffs on EU autos to 25%

Reuters

Washington

US President Donald Trump on Friday said he would be increasing tariffs on cars and trucks from the European Union to 25 per cent, saying that the EU had not complied with its trade deal.

TRADE DEAL

"Based on the fact the European Union is not complying with our fully agreed to Trade Deal, next week I will be increasing Tariffs charged to the European Union for Cars and Trucks coming into the United States," he wrote on social media.

"It is fully understood and agreed that, if they produce Cars and Trucks in U.S.A. Plants, there will be NO TARIFF," Trump added.

'We're happy to give up some market share, but won't do businesses that are risky'

bl.interview

Mithun Dasgupta
Kolkata

Star Health and Allied Insurance, a market leader in the country's retail health insurance space, is planning to increase annual premium by high single digit in this fiscal, says its Chief Financial Officer Nilesh Kambl. He says the insurer is looking to maintain its market share or improve it marginally in FY27.

Edited excerpts:

Star Health and Allied Insurance's combined ratio for both the last financial year and for the last quarter improved. What were the reasons?
There was a sharp improvement in the loss ratio. The loss ratio improved by

around 200 basis points for the last financial year. If you remember, FY25 was not a good year for us, and it was mainly for two reasons.

First was group business — whatever we had written was highly loss making. So, during the last half of FY26, we had given up group businesses. So, in the group segment we saw roughly a 12 per cent improvement in the loss ratio. The proportion of that business is only 5 per cent. The balance loss ratio improvement came from retail business. If you remember, we had been mentioning about multiple things — growth in the new business, the price hikes that we have taken on last year on 65 per cent of the portfolio.

Moreover, we had brought up multiple things to improve the claims efficiency to improve customer experiences. Like home healthcare services, telemedicine ser-

“We had brought up multiple things to improve the claims efficiency such as home healthcare services, telemedicine services, preventive and wellness initiatives

NILESH KAMBLI,
Chief Financial Officer,
Star Health and Allied Insurance

vices, preventive and wellness initiatives. Also, fraud, waste and abuse is something which is very rampant when it comes to retail business.

We had done a lot of things to improve that area as well. So, claims efficiency also gave us good benefits. And the last and the least is the underwriting. Also, we have been focusing on quality



business. We are happy to give up some market share, but not do businesses which are risky, and where the inflation is higher, incidence of fraud is very high. The portability business is one segment which we have avoided. So, all these things have led to an improvement in the loss ratio.

In the current financial